

We have all studied the barter system in our history books at some stage of our schooling. The barter system finally led to the creation of money in its current form.

The barter system was the original form of doing business, in which one could trade one product or service for another. While this is "the real" business, the obvious problem with this system was that it was extremely slow, tedious and time consuming. On the positive side, it was hard for the government to tax any barter trade. As the economy goes through recession, you might see some barter still happening.

Commodities

To overcome the sluggishness in the barter system and to speedup the way people traded, people agreed on tangible items as "representative" value. For example, seashells, goats, gold, silver etc., became commodities and represented some value which could help people barter more efficiently.

Let us understand the need of commodities through a very simple example. Let us take a real business situation where person A wants to buy a plot of land and person B (who has a plot of land to sell) wants to buy a tractor. How could they barter using the barter trading system if A does not have tractor? They cannot.

But commodities make this possible.

If A had the commodities which represent some unit of value, this trade becomes possible even if A does not have a tractor. Let us say, A had some standardized gold coins, then he/she could buy the piece of land and give equivalent gold coins worth the price of the land to the seller (Person B). Person B can then take those gold coins and look for a person C (anyone who wants to sell a tractor). Person C need not be interested in buying land but only in selling a tractor. So, whatever trade was not feasible in the barter system between Person A and Person B became feasible in a commodity based system between Persons A, B and C.

That is how the use of commodities hastened the process of exchange and more business could be done in less time. Even today, gold and silver